

# PRICE THEORY: A READING GUIDE

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This is a reading guide to the foundation of economics: price theory. From principles to graduate level, the textbooks highlighted here place much less emphasis on algebra and mathematical proofs and more so on applied problems that test your economic intuition and hopefully teach you to *think* like an economist. The resources are always listed alphabetically, but you might want to read the ones in Section 2 by year publication, since later ones often refer to earlier ones.

In the spirit of Cutsinger and Salter (2024), rather than microeconomics, it draws mostly from the price theory tradition of Chicago, UCLA, and Vienna-London. In terms of content, this means they'll focus on the role of markets, prices, profit, and loss, in bringing about economic coordination. If ever, utility maximization is introduced only as an analytical tool to provide micro-foundations to market phenomena, instead of an “axiomatic foundation” from which demand functions are derived.<sup>1</sup> Moreover, rather than discussing the many theoretical exceptions to competitive markets – i.e., *market failures* – and providing more and more complicated models to deal with such exceptions, it takes the competitive model as a “reasonable approximation” of *most* markets. That is, price theory insists that relatively simple models that highlight the role of competitive forces and entrepreneurial discovery in bringing about a dynamic equilibrating tendency can provide reasonable answers to most applied problems. Mitchell and Boettke (2017) is an excellent non-technical introduction to these traditions.

While still drawing heavily from the price-theoretic tradition, the *Readings on Specific Topics* (Section 2) provide a broader view and also include many foundational texts that any student of economics should know.

I provide [links](#) whenever the resources has been made freely available by the authors.

## 1 Textbooks

For both principle, intermediate, and graduate-level textbooks, many of the resources will be largely redundant. Books with \* are the ones I would recommend the most in each category, either because they are the best, or because they have no clear substitutes.

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<sup>1</sup>See Jaffe et al. (2009, pp. 2-3)

## 1.1 Basic Intuition

These are non-technical, introductory books aimed at a general audience. Although they will not provide most of the models and diagrams, they are really good in applying economic intuition to a wide variety of topics. Unlike the rest of the textbooks, you should probably read all of these if you have the time; even though some topics will be repeated, each author provide different insights and examples that may be quite useful. If you don't have the time for all, my recommendation is to pick either Hazlitt, Landsburg, or Sowell's *Basic Economics* first, and read Mitchell and Boettke (2017) second, as it provides a much broader view of schools of thought in economics.

1. Hazlitt, Henry. *Economics in One Lesson*
2. Landsburg, Steven. *The Armchair Economist*
3. \*Mitchell, Michael, & Boettke, Peter. (2017). *Applied Mainline Economics*. Mercatus Center at George Mason University.
4. Sowell, Thomas. *Basic Economics*. Basic Books
5. Sowell, Thomas. *Applied Economics*. Basic Books

## 1.2 Principles Textbooks

Most of these are modern college textbooks, with their usual layout. Cowen and Tabarrok is perhaps the most popular one. Most have several editions, any should be fine. The exception on all margins is Alchian and Allen's *Universal Economics*, which is organized as, and reads more like, a "normal" book – it is also much cheaper. Their *Exchange in Production* is out of print (as far as I know), and although has different topics, it has a similar type of exposition.

1. \*Alchian, A. & Allen, W. (2018). *Universal Economics*
2. Alchian, Armen & William Allen. *Exchange and Production: Theory in Use*
3. Cowen, Tyler & Alex Tabarrok. *Modern Principles of Economics*
4. Gwartney, J. et al. *Economics: Private and Public Choice*
5. Heyne, Paul, Peter Boettke, & David Prychitko. (2010). *The Economic Way of Thinking*
6. Landsburg, Steven. *Price Theory and Applications*

## 1.3 Intermediate Textbooks

My favorite here is McCloskey's. It has close to 1,000 problems that *really* test your intuition. Many of these are solved in the main text, teaching you how to work through them, and they become harder as you progress. It is really unparalleled. Friedman's is similar, although it has fewer practice problems and the figures from the free version in the author's website are less than appealing (you'll understand when you see it). If textbooks from the 80s are a deal-breaker, Goolsbee et al. and Hirshleifer et al. are more recent college textbooks that will have pretty layouts and contemporary examples – although I'd still recommend McCloskey's over them.

Kirzner's *Market Theory and the Price System* definitely reads as a textbook from the 60s – it is not particularly exciting for your first try in price theory. Still, I would recommend as a complementary view that really focuses on the role of entrepreneurial discovery in market equilibrium

– probably unlike anything you have seen it before. Definitely get the linked Liberty Fund edition for this one.

1. Friedman, David. 1986. *Price Theory: An Intermediate Text*. Dallas, TX: South-Western Publishing
2. Goolsbee, Austan, Steven Levitt, and Chad Syverson. *Microeconomics*.
3. Hirshleifer, Jack, Amihai Glazer, & David Hirshleifer. (2005). *Price Theory and Applications: Decisions, Markets, and Information*. Cambridge University Press.
4. Kirzner, Israel. (2011 [1963]). *Market Theory and the Price System*. The Collected Works of Israel M. Kirzner, Peter J. Boettke and Frédéric Sautet (eds.), Liberty Fund.
5. \*McCloskey, D. 1985. *The Applied Theory of Price*. New York: Macmillan.

## 1.4 Graduate Level Textbooks

1. Becker, Gary. (2007 [1971]). *Economic Theory*. Transaction Publishers.
2. Jaffe, Sonia, Robert Minton, Casey B. Mulligan, & Kevin M. Murphy. 2019. *Chicago Price Theory*. Princeton, NJ: Princeton University Press.
3. Friedman, Milton. *Price Theory: A Provisional Text*
4. Stigler, George. *The Theory of Price*

## 2 Readings on Specific Topics

### 2.1 Method and Behavioral Assumptions

\* Read Becker (1962) and Kirzner (1962) back to back.

1. Alchian, A. A. (1950). Uncertainty, evolution, and economic theory. *Journal of Political Economy*, 58(3), 211-221.
2. Becker, G. S. (1993). Nobel lecture: The economic way of looking at behavior. *Journal of Political Economy*, 101(3), 385-409.
3. Becker, G. S. (1962). Irrational behavior and economic theory. *Journal of Political Economy*, 70(1), 1-13.
4. Buchanan, J. M. (1964). What should economists do?. *Southern Economic Journal*, 213-222.
5. Cutsinger, B., & Salter, A. W. (2024). The Need for a Price Theory Revival. *The Journal of Private Enterprise*, 39(1), 11-44.
6. Frank, Robert H. (1987). If homo economicus could choose his own utility function, would he want one with a conscience?. *The American Economic Review*, 593-604.
7. Kirzner, I. M. (1962). Rational action and economic theory. *Journal of Political Economy*, 70(4), 380-385.

8. Leeson, P. T. (2020). Logic is a harsh mistress: Welfare economics for economists. *Journal of Institutional Economics*, 16(2), 145-150.
9. Stigler, G. J., & Becker, G. S. (1977). De gustibus non est disputandum. *The American Economic Review*, 67(2), 76-90.

## 2.2 Utility, Value, and Demand

1. Alchian, A. A. (1953). The meaning of utility measurement. *The American Economic Review*, 43(1), 26-50.
2. Cobb, Charles W., and Paul H. Douglas. 1928. A Theory of Production. *American Economic Review*, 18(1): 139-65.
3. Lancaster, K. J. (1966). A new approach to consumer theory. *Journal of Political Economy*, 74(2), 132-157.
4. Samuelson, Paul A. (1938). A note on the pure theory of consumers' behaviour. *Economica*, 5 (17): 61-71.

## 2.3 Property Rights, Transaction Costs, and Economic Organization

1. Alchian, A. A. (1965). Some Economics of Property Rights. *Il Politico*, 30(4), 816-829.
2. Alchian, A. A., & Demsetz, H. (1972). Production, information costs, and economic organization. *The American Economic Review*, 62(5), 777-795.
3. Buchanan, J. M. (1965). An economic theory of clubs. *Economica*, 32(125), 1-14.
4. Coase, Ronald H. (1937). The Nature of the Firm. *Economica*, 4: 386-405
5. Coase, Ronald. H. (1960). The problem of social cost. *Journal of Law and Economics* 3, 1-44
6. Coase, Ronald H. (1974). The lighthouse in economics. *Journal of Law and Economics*, 17(2), 357-376.
7. Coase, Ronald H. (1992). The Institutional Structure of Production [Nobel Prize Lecture]. *The American Economic Review* 82.
8. Demsetz, H. (1964). The exchange and enforcement of property rights. *Journal of Law and Economics* 7, 11-26.
9. Demsetz, Harold. (1967). Towards a Theory of Property Rights. *The American Economic Review*, 57(2): 347-359.
10. Williamson, Oliver E. (1979) Transaction-Cost Economics: The Governance of Contractual Relations. *Journal of Law and Economics* 22.
11. Williamson, Oliver E. 2002. The Theory of the Firm as a Governance Structure: From Choice to Contract. *Journal of Economic Perspectives* 16.

## 2.4 Prices, Knowledge, Coordination, and Market Forces

1. Hayek, F. A. The Use of Knowledge in Society. *The American Economic Review*, 35(4), 519-530
2. Kirzner, Israel M. 1997. "Entrepreneurial Discovery and the Competitive Market Process: An Austrian Approach." *Journal of Economic Literature* 35
3. Sowell, Thomas. *Knowledge and Decisions*

## 2.5 Costs and Factors of Production

1. Buchanan, J. M. (1978). *Cost and Choice: An Inquiry in Economic Theory*. University of Chicago Press.
2. Buchanan, J. M & G. F. Thirlby. (1981). *The L.S.E. Essays on Cost*. New York University Press.
3. Baumol, W. J., & Bowen, W. G. (1965). On the Performing Arts: The Anatomy of Their Economic Problems. *The American Economic Review*, 55(1/2), 495-502.
4. Hutt, William H. (1939) *The Theory of Idle Resources*. Ludwig von Mises Institute.

## 2.6 Labor and Human Capital

1. Becker, Gary S. (1964) *Human Capital: A Theoretical and Empirical Analysis*. University of Chicago Press.
2. Minton, R., & Mulligan, C. B. (2024). Difference-in-Differences in the Marketplace. NBER Working Paper 32111. National Bureau of Economic Research.

## 2.7 Information Problems

1. Akerlof, G. A. (1970). The Market for 'Lemons': Quality Uncertainty and the Market Mechanism. *The Quarterly Journal of Economics*, 84(3), 488-500.
2. Alchian, A. A. (1969). Information costs, pricing, and resource unemployment. *Economic Inquiry*, 7(2), 109.
3. Arrow, Kenneth J. 1963. "Uncertainty and the Welfare Economics of Medical Care." *The American Economic Review*, 53(5): 941-73.
4. Demsetz, H. (1969). Information and efficiency: Another viewpoint. *Journal of Law and Economics* 12 (1), 1-22
5. Stiglitz, Joseph E & Weiss, Andrew, 1981. "Credit Rationing in Markets with Imperfect Information," *The American Economic Review*, 71(3), 393-410.
6. Stigler, G. J. (1961). The economics of information. *Journal of Political Economy*, 69(3), 213-225.

## 2.8 Industrial Organization and Antitrust

1. Dixit, Avinash K., and Joseph E. Stiglitz. (1977). Monopolistic Competition and Optimum Product Diversity. *American Economic Review*, 67(3): 297–308
2. Armentano, Dominick T. (1990). *Antitrust and Monopoly: Anatomy of a Policy Failure*. Independent Institute.

## 2.9 Taxation

1. Baumol, W. J. (1972). On Taxation and the Control of Externalities. *The American Economic Review*, 62(3), 307–322.
2. Barzel, Y. (1976). An alternative approach to the analysis of taxation. *Journal of Political Economy*, 84(6), 1177–1197.
3. Mulligan, Casey. (2023). “Beyond Pigou: Externalities and Civil Society in the Supply-Demand Framework.” *Public Choice* 196: 1–18
4. Tullock, G. (1967). The welfare costs of tariffs, monopolies, and theft. *Economic Inquiry*, 5(3), 224–232.

## 2.10 Governments, Regulation, and Collective Action

1. Barzel, Y. (2002). *A Theory of the State: Economic Rights, Legal Rights, and the Scope of the State*. Cambridge University Press.
2. Buchanan, J. M. (2008). Same players, different game: how better rules make better politics. *Constitutional Political Economy*, 19(3), 171–179.
3. Krueger, Anne O. 1974. “The Political Economy of the Rent-Seeking Society.” *American Economic Review*, 64(3): 291–303.
4. Leeson, Peter T. 2011. Governments, Clubs, and Constitutions. *Journal of Economic Behavior and Organization*, 80(2), 301–308.
5. McChesney, F. S. (1987). Rent extraction and rent creation in the economic theory of regulation. *The Journal of Legal Studies*, 16(1), 101–118.
6. Mises, Ludwig von. (1944). *Bureaucracy*. Yale University Press.
7. Olson, Mancur. (1965) *The Logic of Collective Action: Public Goods and the Theory of Groups*. Cambridge, MA: Harvard University Press.
8. Ostrom, Elinor C. (1990). *Governing the Commons: The Evolution of Institutions for Collective Action*. Cambridge: Cambridge University Press.
9. Stigler, G. (1971). The Theory of Economic Regulation. *Bell Journal of Economics*, 2(1), 3–21.
10. Tiebout, C. M. (1956). A pure theory of local expenditures. *Journal of Political Economy*, 64(5), 416–424.
11. Tullock, G. (1975). The transitional gains trap. *The Bell Journal of Economics*, 671–678.

12. Yandle, B. (1983). Bootleggers and baptists-the education of a regulatory economists. *Regulation*, 7, 12.

## 2.11 Productivity, Technology, Innovation, and Economic Growth

1. Aghion, P., & Howitt, P. (1992). A Model of Growth Through Creative Destruction. *Econometrica*, 60(2), 323–351.
2. Baumol, W. J. (1996). Entrepreneurship: Productive, unproductive, and destructive. *Journal of Business Venturing*, 11(1), 3-22
3. Kremer, M. (1993). The O-ring theory of economic development. *The Quarterly Journal of Economics*, 108(3), 551-575.
4. Lucas, R. E. (1990). Why Doesn't Capital Flow from Rich to Poor Countries? *The American Economic Review*, 80(2), 92–96. <http://www.jstor.org/stable/2006549>
5. Solow, Robert M. (1956). A contribution to the theory of economic growth. *Quarterly Journal of Economics*. 70 (1): 65–94.
6. Romer, P. M. (1986). Increasing returns and long-run growth. *Journal of Political Economy*, 94(5), 1002-1037.
7. Romer, P. M. (1990). Endogenous technological change. *Journal of Political Economy*, 98(5, Part 2), S71-S102.

## 3 Useful Resources

### 3.1 YouTube

1. Economics in Many Lessons. <https://www.youtube.com/@EconomicsinManyLessons>
2. Marginal Revolution University <https://www.youtube.com/@MarginalRevolutionUniversity>
3. Chicago Price Theory <https://www.youtube.com/@chicagopricetheory>

### 3.2 Blogs

1. Economics Forces. <https://www.economicforces.xyz/>
2. Marginal Revolution. <https://marginalrevolution.com>